

PRICE RANGES

Price Ranges

In the forex market, price moves by creating lows and highs. In an uptrend, price creates higher highs and higher lows, and in a bearish market, price creates lower highs and lower lows. As traders we want to look for the lowest place to buy and the highest place to sell, respectively. We can do this by understanding price ranges and utilising them in conjunction with the rest of the strategy.



On the left, in a bullish example we can see a strong bullish leg which has created a HL and a HH. Based on market structure, we can now expect a HL to be made. But it is essential to understand where this HL will be made so we can safely look for the lowest place to buy.

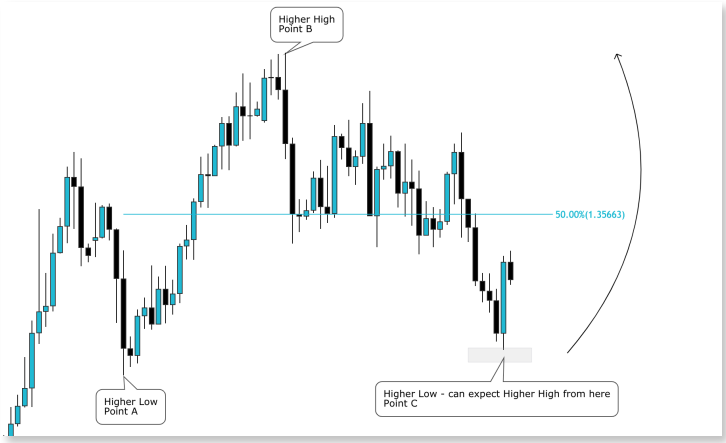
On the right, we can see that the parent price range from Point A to Point B can be identified by finding the midway point or the 50% level. Assuming that Point A is £0 and Point B is £100, we can understand that anything above the 50%, or £50 level can be considered a 'premium price', and therefore anything below the 50% level can be considered a 'discount price'. Since we are looking to buy at the lowest price, we have to wait for price to come into the discount end of the parent price range.



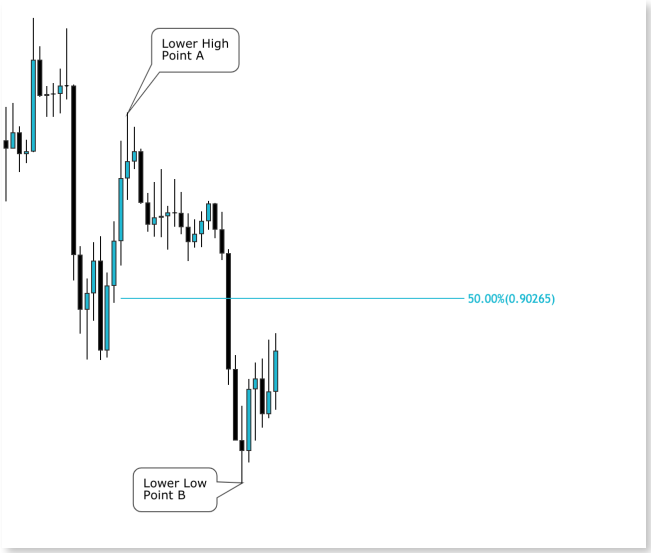


For the uninformed, this example on the left would be considered a higher low, and long positions would be added. However, we understand that this is not the lowest place to buy since price is not firmly in the discount end of the parent range (under the 50% level). Therefore, we wait for price to come into our area.

Below on the left, we can see the importance of waiting for price to come into the preferred end of the price range, which would be the discount end in a bullish market. The early buyers would be stopped out, whereas we would be looking to go long at specific points of interest, expecting price to continue trend and give us a higher high.

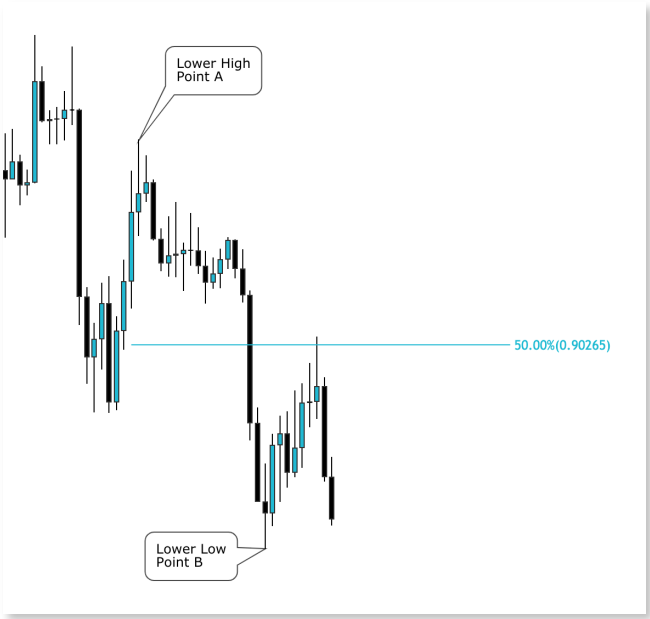


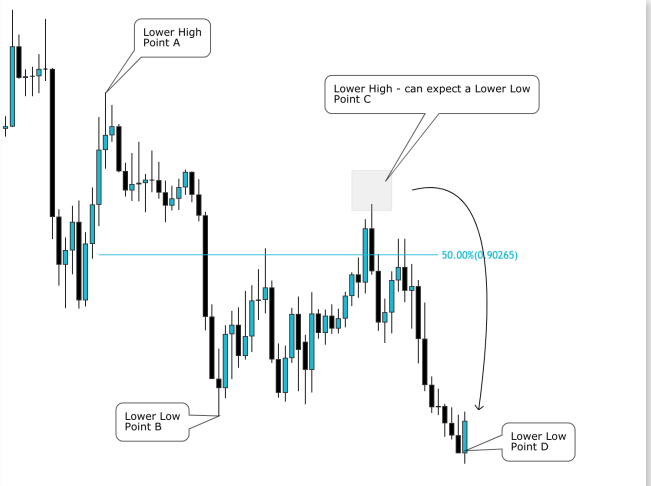




In a bearish market, the same logic applies. Assuming Point A is £0 and Point B is £100, we want to sell at the highest possible price, which would be above the 50% or £50 level at the premium end of the parent price range.

Once again, for the less informed, the example on the right would be a lower high, but this is not the case since it does not sit in the premium end of the price range. Therefore, we wait for price to come into our area.





Once price comes into specific areas in the preferred end of the price range, which would be the premium end in this bearish example, we can confidently look for shorts and expect the market to make a lower low.


05/03/2021
EG m1
Point A
50.00%(0.86480)
Point B